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Executive Commercial Performance Diagnostic: Nexora Retail

Validated Commercial Position, Diagnostic Priorities & Strategic Next Steps

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EXECUTIVE DIAGNOSTIC BRIEF

A rigorous 5-pillar commercial evaluation of Nexora Retail: addressing **business standing (₦3.31B revenue, ₦754.3M GP)**, management focus areas, multi-dimensional data evidence, critical uncertainties, and actionable next steps.

Executive Diagnostic Agenda: Five Core Questions

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Structured Executive Evaluation Across Position, Priorities, Evidence, Uncertainties & Next Steps

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QUESTION 01

Where Does the Business Stand?

Baseline audit establishing validated Net Revenue (₦3.31B), Gross Profit (₦754.3M), Gross Margin (22.82%), Target Achievement (96.90%), and the operating target shortfall (-3.10% / ₦105.9M).

2

QUESTION 02

What Deserves Attention?

Prioritizing 4 critical commercial frictions: H1 performance movement (-1.30% sales, -2.72% vol), discount-margin collapse (-1,494 bps), return rate surges (3.56%), and Kano store target shortfall (86.48%).

3

QUESTION 03

What Do the Data Show?

Multi-dimensional operational evidence mapping performance across Categories (Computing dominance vs Mobile returns), Channels (In-Store vs Online), Stores (Kano gap), and Sales Representatives.

4

QUESTIONS 04 & 05

Uncertainties & Next Steps

Q4. Uncertainties: Unresolved root-cause hypotheses requiring field audit vs. 18-month transactional data constraints.

Q5. Next Steps: Structured diagnostic roadmap specifying concrete actions, assigned functional owners, and evaluation metrics.

Where Does the Business Stand? Commercial Performance Baseline

Validated Revenue, Profitability, Target Achievement & Target Gap Quantification

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NET REVENUE

₦3.31B

GROSS MARGIN %

22.82%

TARGET ACHIEVEMENT & GAP

96.90%

Shortfall: -3.10% (₦138.34M)

GROSS PROFIT

₦754.26M

DIAGNOSTIC QUESTION 01: EXECUTIVE STANDING & BASELINE ASSESSMENT

"Nexora delivered ₦3.31B in net revenue and ₦754.26M gross profit (22.82% margin), closing at 96.90% of target with a ₦138.34M (-3.10%) operating shortfall."

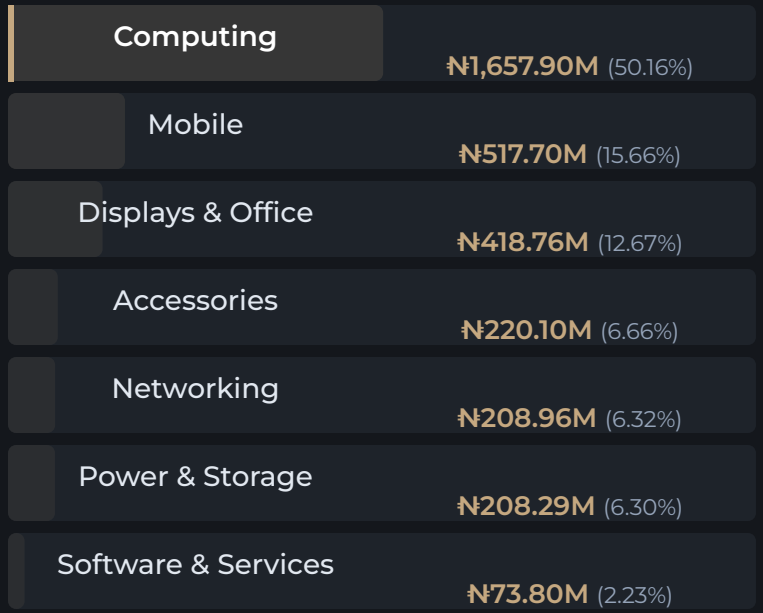
Executive Standing: Overall commercial performance remains fundamentally stable, anchored by strong physical retail volume. However, realizing full target potential requires resolving the ₦138.34M gap driven by localized store shortfalls (Kano) and margin degradation from deep discounting.

Category Evidence: Revenue Concentration vs Return Vulnerability

Supporting Data: Computing Dominance (50.2%) Offset by Hardware Returns (4.08%) & Mobile Defect Spikes (6.37%)

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Net Revenue & Category Distribution



TOTAL REVENUE EVALUATED **₦3.31B**

Profit Margin & Return Friction Matrix

Computing
20.63% Gross Margin
4.08% Return Rate (High)

Displays & Office
24.46% Gross Margin
3.79% Return Rate (Mod)

Software & Services
32.43% Gross Margin
0.82% Return Rate (Low)

Mobile
20.22% Gross Margin
6.37% Return Rate (High)

CATEGORY EVIDENCE & MANAGEMENT TAKEAWAY

Computing generates over half of total net revenue (₦1,657.90M / 50.16%) at 20.63% margin, but carries an elevated 4.08% return rate. Mobile presents severe post-sale friction with a 6.37% return rate.

Diagnostic Priority: Execute vendor QA and packaging reviews for Computing and Mobile to stem return friction, while exploring aggressive scaling of high-margin Software & Services (32.43% GM, 0.82% returns).

Channel Evidence: Physical Retail Reliability vs E-Commerce Friction

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Supporting Data: In-Store Retail Anchors ₦1,978M at 2.68% Returns; Online Returns Rise to 3.68%

Physical Retail (In Store)

Net Revenue

₦1,977.55M (Top Revenue)

GROSS MARGIN	RETURN RATE
23.00%	2.68%

Channel Dynamics

Drives core net revenue (₦1,977.55M) with highest gross margin (23.00%) and highest customer repeat frequency (3.85) under minimal discounting (4.59%).

Online

Net Revenue

₦917.07M

GROSS MARGIN	RETURN RATE
22.58%	3.68%

Channel Dynamics

Generates ₦917.07M net revenue with strong AOV (₦561.93K), but suffers from highest return rate friction (3.68%) and moderate order frequency (2.01).

Whatsapp/Phone

Net Revenue

₦410.90M

GROSS MARGIN	RETURN RATE
22.50%	2.36%

Channel Dynamics

Highest Average Order Value (₦648.11K) and lowest return rate (2.36%), but lowest customer repeat frequency (1.40) and highest average discount (5.26%).

CHANNEL EVIDENCE & STRATEGIC IMPLICATION

In-Store retail provides the core profit engine (₦1,977.55M, 23.00% GM, 3.85 repeat freq, 2.68% returns). Online e-commerce generates ₦917.07M but suffers elevated return friction (3.68%). WhatsApp/Phone demonstrates exceptional basket size (₦648.1K AOV, 2.36% returns) but remains under-penetrated at 1.40 order frequency.

Management Priority & Evidence: Discount-Margin Collapse

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Quantifying Severe Margin Destruction (-1,494 bps) Across Promotional Discount Bands

BAND 01 • NO DISCOUNT

Standard Price

GROSS MARGIN

26.69%

BAND 02 • 0.1–5% DISCOUNT

Minor Promo

GROSS MARGIN

23.18%

BAND 03 • 5.1–10% DISCOUNT

Moderate Promo

GROSS MARGIN

19.01%

BAND 04 • >10% DISCOUNT

Deep Discount

GROSS MARGIN (ERODED)

11.75%.

DISCOUNT ECONOMICS & MANAGEMENT TAKEAWAY

Higher discount bands are associated with lower observed gross margins: gross margin drops from **26.69%** at full price down to **11.75%** for discounts >10% (-1,494 bps). Deep discounts warrant review of incremental volume and margin trade-offs.

Store & Regional Evidence: Target Realization vs Kano Shortfall

Uniform Gross Margins (22.5%–23.2%) Mask Stark Target Realization Gaps (102.8% vs 86.5%)

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3 STORES

Top Performers

Exceeded Sales Targets

- **Ikeja Exp.: 102.80%**
- **Abuja Central: 102.64%**
- **Victoria Island: 101.25%**

Strong overall operational execution and customer demand.

8 STORES

Margin Baseline

Gross Margin Range

22.51%–23.16%

Gross margins are tightly grouped, making sales target achievement and return rates the key differentiators.

4 STORES

Underperforming Outliers

Lowest Performer (Kano)

86.48% Target | 4.06% Returns

Benin City, Enugu, Ibadan <95%

Kano combines severe target shortfall with the highest store return rate.

REGIONAL DIAGNOSTIC PRIORITY & FIELD AUDIT STRATEGY

Kano stands out as the primary regional drag, recording a **13.52% target shortfall (86.48% achieved)** and the company-wide peak store return rate (**4.06%**). An immediate diagnostic audit must determine whether local inventory stockouts, logistics transit damage, or local pricing mismatches drive this underperformance.

Customer Segment Evidence: Revenue Concentration & Account Value

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Supporting Data: Retail B2C Volume Stability (63.9%) vs B2B Commercial Expansion Potential (36.1%)

B2C SEGMENT

RETAIL CUSTOMERS

63.87%

SHARE OF NET REVENUE

Primary revenue backbone.
Focus on retention & frequency.

COMMERCIAL SEGMENT

SME CUSTOMERS

20.04%

SHARE OF NET REVENUE

Secondary growth contributor.
Target for account expansion.

ENTERPRISE SEGMENT

CORPORATE CUSTOMERS

16.08%

SHARE OF NET REVENUE

High commercial value per account.
Key relationship development.

REGIONAL DEMAND & CUSTOMER DYNAMICS (848 ACTIVE / ~1,000 REGISTERED)

Regional Activity: South West recorded highest active count, followed by South South and North West.

Strategic Takeaway: Target retention for high-value active, re-engage at-risk, and track Gross Profit per customer.

Sales Team Evidence: Multi-Indicator Performance & Return Friction

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Evaluating Sales Representatives Across Volume Scale, Margin Retention, and Post-Sale Friction

NET REVENUE LEADERS

Volume & Scale

UCHE WILLIAMS

₦143.79M

2.12% return rate

VICTOR UDO

₦143.50M

23.27% GM | 0.92% return rate

Top order quality & minimal returns across team.

MARGIN & AOV LEADERS

Profitability Drivers

EMEKA OLAWALE

23.83% Gross Margin

3.09% return rate

OSAS OGBONNA

~₦689K AOV

3.50% return rate

Highest transaction size & margin retention.

RETURN ANALYSIS

Post-Sale Impact

HASSAN OSEI

₦97.3M Rev

4.51% return rate

CHINONSO WILLIAMS

5.34% Ret

Team-High Returns

High volume offset by substantial post-sale returns.

SALES GOVERNANCE TAKEAWAY & COMMISSION REALIGNMENT

Return-rate differences warrant further investigation before individual performance policies are changed.

Pilot a balanced sales-performance scorecard combining net revenue, margin, and return quality, then assess the results before changing compensation.

What Remains Uncertain? Hypotheses vs Data Limitations

Diagnostic Question 04: Root-Cause Explanations Requiring Investigation vs Analytical Constraints

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INVESTIGATION AREA 01

Kano Deficit Drivers

Unverified Explanations:

The 86.48% target achievement and 4.06% return rate could stem from localized northern demand slump, stockouts of key Computing lines, transit damage along northern freight corridors, or aggressive local grey-market pricing.

INVESTIGATION AREA 02

Return Surge Causality

Unverified Explanations:

Defective items dominate return logs (Mobile 6.37%, Computing 4.08%), but transactional data cannot determine whether this originates from specific OEM batch defects, in-transit courier shock, or customer misuse / remorse.

ANALYTICAL BOUNDARIES

Source-Data Limitations

Data Governance Constraints:

- 18-month transactional window prevents statistical seasonality modeling.
- **Lacks true longitudinal cohort churn tracking.**
- **Excludes granular unit COGS, reverse shipping, and refurbishment cost accounting.**

EXECUTIVE TAKEAWAY ON UNCERTAINTY & EVIDENCE BOUNDARIES

Diagnostic findings indicate strong correlation but do not prove isolated causation without targeted field audits. Management must separate empirical observations from unobserved operational dynamics before enacting structural policy shifts.

Proposed Management Targets for Review: Diagnostic Action Plan

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Question 05: Immediate Diagnostic Actions, Functional Owners & Quantitative Evaluation Metrics

01 **Enforce Strict Discount Governance & Approval Thresholds**
Owner: Commercial Director / Finance | **Metric:** Cap >10% discount volume <5%; restore blended realized margin ≥23.5%.

02 **Initiate Hardware QA Audits & Packaging Inspection**
Owner: Supply Chain & Procurement Lead | **Metric:** Reduce Mobile/Computing returns <2.5%; institute OEM defect warranty claims.

03 **Execute Kano Store Diagnostic Audit & Inventory Alignment**
Owner: Head of Retail Operations | **Metric:** Close target achievement gap from 86.5% to ≥95.0%; lower returns <3.0%.

04 **Scale WhatsApp / Phone Direct Sales & Repeat Purchase Engine**
Owner: Digital Sales & CRM Lead | **Metric:** Increase repeat purchase frequency from 1.40 to >2.50 while protecting ₦640K+ AOV.

05 **Institute Balanced Net Profitability & Quality Commission Scorecards**
Owner: Chief Commercial Officer / HR | **Metric:** Consider a pilot scorecard for evaluating sales representatives

DATA GOVERNANCE ROADMAP

Closing Analytical Blind Spots

To transition from diagnostic correlation to verified causal attribution, Nexora requires institutionalizing multi-year data tracking and reverse-logistics cost accounting.

PHASE 1 GOVERNANCE ACTION

Unit COGS & Restocking Ledger

Integrate return inspection and shipping write-offs into net margin.

PHASE 2 GOVERNANCE ACTION

Cohort Lifecycle & Churn Tracking

Deploy multi-year cohort tracking for customer churn and lifetime value.